HDFC BANK LTD

NSE: HDFCBANK · Private-sector bank (retail, SME, wholesale) · Mumbai · merged with HDFC Ltd on 1-Jul-2023

Initiation snapshot · 19 Oct 2026 · Prices as of 16 Oct 2026

RATING	CMP	12M TARGET	UPSIDE / DIV. YIELD
BUY	**₹728.85**	**₹845**	**+15.9% / 2.1%**

Key data

Market cap	₹11,23,776 cr
Shares outstanding	1,541.85 cr (derived)
52-week range	₹681.90 – 1,020.50
1-yr price return	−26.7%
P/E trailing (Screener)	14.7x
P/E FY27E / FY28E (ours)	14.1x / 12.4x
P/B (Screener book ₹376)	1.94x
CET1 / Tier 1 / CAR (Sep-26)	17.1% / 17.2% / 18.9%
GNPA / NNPA (Sep-26)	1.11% / 0.37%
FIIs / DIIs / Public (Sep-26)	39.39% / 43.44% / 16.96%
FY26 dividend / share	₹15.50 (incl. ₹2.50 special)

BUSINESS

India's largest private-sector bank by market value in our peer set. At 31-Mar-26: standalone advances ₹29.37 lakh cr, deposits ₹31.05 lakh cr, balance sheet ₹43.65 lakh cr, 9,689 branches, 21,172 ATMs, 2,11,178 employees. The merger with HDFC Ltd (effective 1-Jul-23) made it a top-two mortgage lender. Group companies: HDFC Life, HDFC ERGO, HDFC AMC, HDFC Credila, HDFC Securities, HDB Financial (listed 2-Jul-25).

INVESTMENT VIEW

- **Earnings compounding, not accelerating.** FY26 standalone PAT ₹74,671 cr (+10.9%), ROA 1.94%, ROE 14.3%. Q2 FY27 PAT ₹19,510 cr (+4.7% YoY), in line with a CNBC-TV18 poll.
- **Growth has re-accelerated.** Q2 FY27 gross advances ₹32.2 lakh cr (+16.3%), deposits ₹33.3 lakh cr (+18.8%); but CASA fell to 31.6% of deposits (about 33.9% a year ago) and NIM to 3.16% on assets.
- **Margin is the debate.** NIM 3.38% (Q4 FY26) → 3.26% → 3.16%. The MD said the margin trajectory "should turn upwards from the next quarter onwards". We model PAT +6.5% in FY27E.
- **Strong asset quality and capital.** GNPA 1.11%, NNPA 0.37%, CET1 17.1%.
- **Valuation.** At 1.9–2.0x book and 14.7x trailing earnings it is below ICICI (18.4x). Residual-income value ₹777 (12M); peer-P/E cross-check ₹908; blend = TP ₹845. Marginal BUY: total return 18% vs 15% threshold.

KEY RISKS

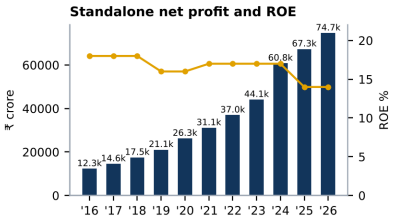
- Leadership transition: MD & CEO Jagdishan's term ends 26-Oct-26; Anup Bagchi proposed (subject to RBI/shareholder approval); Deputy MD Bharucha leaves Dec-26; Chairman Chakraborty resigned Mar-26.
- Funding-cost and CASA pressure; RBI repo hike of 25 bp to 5.50% (calibrated tightening).
- Valuation highly sensitive to cost of equity: our value ranges ₹578–870 for Ke 12.5%–10.5%.
- Credit cost has risen to 0.44% (Q2 FY27) from 0.35% (Q4 FY26); FII selling (FII stake 48.4% → 39.4% in 12 months).

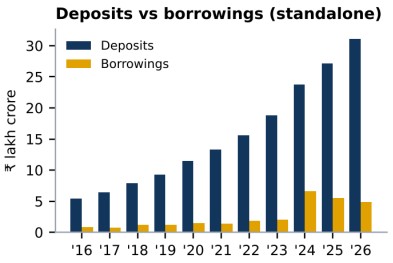
CATALYSTS TO WATCH

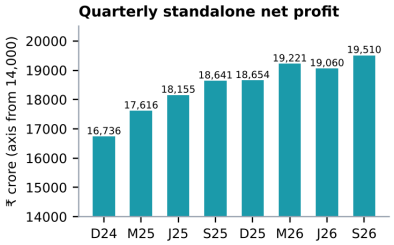
- Bagchi's approval and first strategy statements; clarity on CEO/chair succession.
- Margin turn expected by management from Q3 FY27; CASA trend.
- Q3 FY27 results; HDB Financial and subsidiary value unlocking.

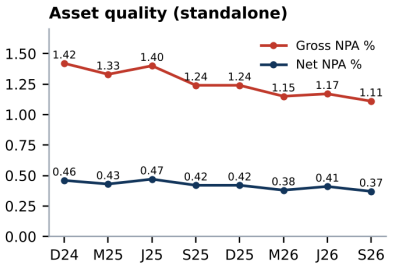
FINANCIAL SUMMARY (FY24–FY26 reported, FY27E–28E our estimates)

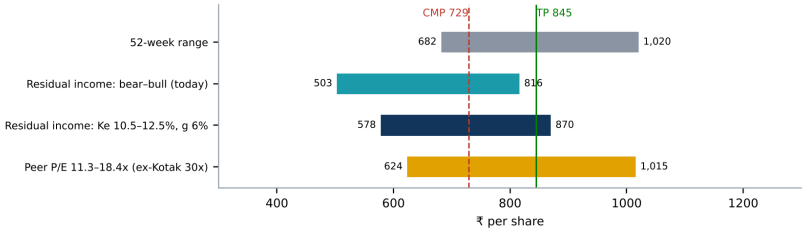
₹ crore (standalone)	FY24	FY25	FY26	FY27E	FY28E
Net profit	60,812	67,347	74,671	79,525	90,658
growth %	37.9	10.7	10.9	6.5	14.0
EPS (₹, bonus-adj.)	40.02	44.01	48.62	51.6	58.8
P/E at CMP (x)	18.2	16.6	15.0	14.1	12.4
Book value/share (₹)	–	–	365	400	440
ROE % (PAT/avg equity)	17 (Screener)	14 (Screener)	14.3 (bank)	13.5	14.0
Deposits	23,79,786	27,14,715	31,05,250	–	–
Borrowings	6,62,153	5,47,931	4,89,395	–	–
Total assets	36,17,623	39,10,199	43,64,886	–	–











SCENARIOS (OUR ASSUMPTIONS, KE 11.5%, g 6%)

Scenario (our assumptions)	Bear	Base	Bull
PAT growth FY27E → FY31E	4% → 9%	6.5%, 14%, 15%, 14%, 13%	9% → 15%
FY31E EPS (₹)	70	87	97
Terminal ROE %	12.9	15.3	16.7
12M value (₹)	561	777	910

RECENT DATA

Latest data points	Figure
Q2 FY27 PAT (17-Oct-26)	₹19,510 cr (+4.7% YoY)
Q2 FY27 NII	₹34,619 cr (+9.7%)
Q2 FY27 NIM (assets)	3.16% (Q1: 3.26%)
Q2 FY27 cost-to-income / credit cost	39.1% / 0.44%
Consolidated H1 FY27 PAT	₹39,940 cr

Sources: HDFC Bank FY26 press release and Annual Report 2025-26; Q1/Q2 FY27 results coverage (Business Standard, NiftyTrader, Moneycontrol/TradingView, Angel One; 17-Oct-26); Screener and Tickertape for prices, history, shareholding and peer data (16-Oct-26). **FY27E+ estimates, cost of equity (11.5%, assumed beta, not measured) and the target price are our own assumptions, not company guidance or consensus.** Peer multiples are aggregator data on mixed bases. AI-assisted analytical summary, not investment advice.